



Subject Name : Entrepreneurship Development

Faculty Name : Dr. Supriya Kamale

Unit 2 :Types and Classification of Entrepreneurs and Enterprise



Content

- Types and Classification of Entrepreneurs
- Concept of Intrapreneur
- Concept of Women entrepreneur
- Concept of Social Entrepreneurship
- Rural Entrepreneurship
- Family Business Entrepreneurship
- Types of Enterprise



Classification of entrepreneurs on the Basis of Economic Development

- ☐ Innovating Entrepreneur
- ☐ Adoptive or Imitative Entrepreneur
- ☐ Fabian Entrepreneur
- ☐ Drone Entrepreneur



Innovating Entrepreneur

- ❑ Innovative entrepreneur is one who assembles and synthesis information and introduces new combinations of factors of production.
- ❑ They are characterized by the smell of innovativeness.
- ❑ These entrepreneurs sense the opportunities for introduction new ideas, new technology, new markets and creating new organizations.
- ❑ Innovative entrepreneurs are very much helpful for their country because they bring about a transformation in life style.



Innovating Entrepreneur – Case study

Dhirubhai Ambani revolutionized the Indian textile and petrochemical industry. He introduced modern production techniques and large-scale manufacturing in India. Later, Reliance expanded into telecommunications and retail, changing the way business operated in India.

Introduced new business models

Used modern technology

Took high risks

Contributed to economic growth

Conclusion: Innovating entrepreneurs drive economic development through creativity and risk-taking.



Adoptive or Imitative Entrepreneur

- also known as adoptive entrepreneur.
- He simply adopts successful innovation introduced by other innovators.
- These entrepreneurs imitate the existing entrepreneurs and setup their enterprise in the same manner. Instead of innovating, they just imitate the technology and methods innovated by others.
- These entrepreneurs are very helpful in less developed countries as they contribute significantly in the growth of enterprise and entrepreneurial culture in these countries.
- Further by adopting the technology, which is already tested, they generate ample employment avenues for the youth and therefore they are treated as agent of economic development.



Adoptive or Imitative Entrepreneur - Case study

Ola did not invent the ride-hailing concept. The idea was already popularized by Uber in the United States. Ola adopted the same business model but customized it for the Indian market by introducing auto-rickshaw booking and cash payment options.

Copied existing model

Modified according to local needs

Reduced risk compared to innovators

Conclusion: Imitative entrepreneurs help spread innovation in different regions.



Fabian Entrepreneur

- ☒ The Fabian entrepreneur is timid and cautious.
- ☒ He imitates other innovations only if he is certain that failure to do so may damage his business.
- ☒ They are very much skeptical in their approach in adopting or innovating new technology in their enterprise. They are not adaptable to the changing environment. They love to remain in the existing business with the age-old techniques of production.
- ☒ They only adopt the new technology when they realize that they are fully convinced that failure is impossible.



Fabian Entrepreneur – Case Study

A traditional textile mill owner in a small town continued using old machinery for years. Even when competitors adopted modern automated machines, he waited to see their success. Only after observing consistent profits did he upgrade his factory.

Risk-averse

Slow decision-makers

Change only when necessary

Conclusion: Fabian entrepreneurs contribute slowly to economic development due to their conservative nature.



Drone Entrepreneur

- ☒ These entrepreneurs are conservative or orthodox in outlook. They never like to get rid of their traditional business and traditional machinery or systems of the business.
- ☒ They always feel comfortable with their old fashioned technology of production even though the environment as well as the society have undergone considerable changes.
- ☒ Thus, drone entrepreneurs refuse to adopt the changes. They are laggards as they continue to operate in their traditional way and resist changes.
- ☒ His entrepreneurial activity may be restricted to just one or two innovations. They refuse to adopt changes in production even at the risk of reduced returns.



Drone Entrepreneur – Case Study

Kodak dominated the photography market but failed to quickly adopt digital camera technology, even though it had invented one of the first digital cameras. The company continued focusing on film photography while competitors shifted to digital, leading to its decline.

Resistant to change
Ignore market trends
May face business failure

Conclusion: Drone entrepreneurs negatively impact economic growth because they resist innovation.



Entrepreneurs according to the Type of Business

Business entrepreneur:

- ☐ Convert ideas(product or service) into reality
- ☐ Deal with both manufacturing and trading aspect of business

e.g. Small trading and manufacturing business like printing press, boutique etc.



Entrepreneurs according to the Type of Business Contd.....

Trading Entrepreneur:

- ☐ Undertakes trading activities
- ☐ Concerned with marketing (Domestic and international level)
- ☐ Identifies Markets, Stimulate demand for product line among buyers

Buys and sells goods (e.g., retail store owner).



Entrepreneurs according to the Type of Business Contd.....

Industrial entrepreneur:

- ☐ Undertakes manufacturing activities only
- ☐ Identifies the need of customer and tailors a product.
- ☐ Converts Economic Resources and Technological Resources into profitable ventures
- ☐ New product development etc (textile, electronics, etc)



Entrepreneurs according to the Type of Business Contd.....

Corporate entrepreneur:

- ☐ A Person who demonstrates his innovative skill in organising and managing corporate undertaking.
- ☐ Business organisation registered under companies Act.

E.g. Google, TATA, Infosys, Microsoft etc.



Corporate Entrepreneurship

A process that goes inside an existing firm and that may lead to new business venture, the development of new products, services or processes and the renewal of strategies and competitive postures.



Entrepreneurs according to the Type of Business Contd.....

Agricultural entrepreneur:

- ☐ One who undertakes Agricultural activities as raising and marketing of Crops, fertilizer etc.
- ☐ An **agriculture entrepreneur (agripreneur)** is a person who starts and manages a business related to agriculture by applying innovative ideas, modern technology, and business skills to earn profit.
- ☐ Production and marketing of agricultural inputs and outputs

e.g. Dairy, horticulture, organic farming, Agri-tech start ups, forestry etc.

Rajesh Aggarwal – Co-founder of Ninjacart

Built a technology-driven supply chain platform connecting farmers directly to retailers and businesses.



D Y PATIL
UNIVERSITY
NAVI MUMBAI

Entrepreneurs according to the use of Technology

- ☐ **Technical entrepreneur:** Production oriented, possesses innovative skills in manufacturing, quality control etc. •
- ☐ **Non technical entrepreneur:** Develops marketing, distribution facilities and strategies
- ☐ **Professional entrepreneur:** Uses the proceeds from sale of one business to start another one. Brimming with ideas to start new ventures



Entrepreneurs according to the Motivation

- ❑ **Pure entrepreneur:** Psychological and economic rewards motivate him•
- ❑ **Induced entrepreneur:** Incentives, concessions, benefits offered by government for entrepreneurs motivates him•
- ❑ **Motivated entrepreneur:** Sense of achievement and fulfilment motivate him
- ❑ **Spontaneous entrepreneur:** Born entrepreneurs with inborn traits of confidence, vision, initiative.



Entrepreneurs according to the Scale of Operation

- ☐ Small Scale Entrepreneurs
- ☐ Medium Scale Entrepreneurs
- ☐ Large Scale Entrepreneurs



Micro, Small and Medium Enterprises (MSME)

According to the Micro, Small and Medium Enterprises (MSME) Development Act of 2006, (India)

A Micro enterprise is where the investment in plant and machinery does not exceed 2.5 crores rupees

A small enterprise is where the investment in plant and machinery is more than 25 crore rupees and annual turnover is rupees 100 crores rupees

A medium enterprise is where the investment in plant and machinery is more than 125 crore rupees and annual turnover is rupees 500 crores rupees



According to Gender and Age

- ☐ Man Entrepreneur
- ☐ Woman Entrepreneur
- ☐ Young Entrepreneur
- ☐ Old Entrepreneur
- ☐ Middle-Age Entrepreneur



According to Area

☐ Urban Entrepreneur

☐ Rural Entrepreneur



According to entrepreneurial activity

- ❑ **Novice Entrepreneur** : First time entrepreneurs hence , have no prior business experience
- ❑ **A serial Entrepreneur** : The serial entrepreneur only ever operates one business after another, but only one business at a time
- ❑ **Portfolio Entrepreneur** : Individuals who currently have minority or majority ownership stakes in two or more independent businesses that are either new, purchased and/or inherited.



Concept of Intrapreneur



Definition and meaning - Intrapreneur

An intrapreneur is an employee within an organization who takes initiative to develop innovative solutions, ideas, or projects, much like an entrepreneur would, but within the framework and resources of the company. Intrapreneurs think and act like entrepreneurs while working to improve their organization's performance, solve challenges, and drive growth.

Intrapreneurs are often given the freedom to experiment and take risks, leveraging the company's resources, such as funding, expertise, and infrastructure, without bearing personal financial risk.

An Intrapreneur is someone who works within a company to develop an idea into a workable product.

Intrapreneurs are given a high level of autonomy for their projects by the companies they work for and they are often said to be acting essentially like entrepreneurs without the risk associated with being an entrepreneur.

Like an entrepreneur, an intrapreneur is driven, motive, creative and able to think outside of the box.

Unlike entrepreneurs, intrapreneurs are far less exposed to the risk of failure. They have the substantial finance of the company back their efforts and they can also take advantage of connections, experience and skills available to the company.



Intrapreneurship

Intrapreneurship, the practice of fostering entrepreneurial initiatives within an organization, is gaining significant traction in the Indian market. Companies are increasingly encouraging employees to think and act like entrepreneurs, driving innovation and competitive advantage.

With India's burgeoning start-up ecosystem and the increasing global integration of its markets, intrapreneurship will play a pivotal role in maintaining the competitive edge of Indian organizations. Expect greater focus on AI-driven innovations, sustainability, and employee empowerment in the coming years.



Trends in intrapreneurship in India:

1. Focus on Innovation Labs

Trend: Many Indian companies, especially in IT, banking, and FMCG sectors, are establishing internal innovation labs.

Example: Tata Group's "Tata Innoverse" and Mahindra's "Spark the Rise" initiative allow employees to submit innovative ideas.

Impact: Facilitates structured innovation and faster implementation of ideas.

2. Leveraging Digital Transformation

Trend: Organizations are empowering intrapreneurs with digital tools like AI, IoT, blockchain, and big data analytics.

Example: Infosys and Wipro actively involve employees in digital transformation projects to innovate business solutions.

Impact: Increases operational efficiency and enhances customer experiences.



Trends in intrapreneurship in India:

3. Start-Up Partnerships

Trend: Companies encourage intrapreneurs to collaborate with start-ups through accelerators and incubators.

Example: Reliance Jio and HUL partner with start-ups to explore new market opportunities.

Impact: Enables cross-industry knowledge sharing and adoption of agile practices.

4. Sustainability and Social Innovation

Trend: Growing emphasis on creating solutions for sustainability and social impact.

Example: ITC focuses on sustainable practices through intrapreneurial initiatives like e-Choupal.

Impact: Aligns with the global ESG (Environmental, Social, and Governance) priorities.



Trends in intrapreneurship in India:

5. Incentivization of Intrapreneurs

Trend: Companies are developing structured programs to reward employees for their entrepreneurial efforts.

Example: Godrej has an intrapreneurship cell that incentivizes innovative contributions with funding, recognition, or career advancement.

Impact: Motivates employees to take ownership of ideas.

6. Focus on Tech-Driven Products

Trend: Companies in sectors like e-commerce, fintech, and edtech are encouraging employees to develop new tech products.

Example: Flipkart's internal initiatives allow teams to experiment with AI-driven solutions for customer engagement.

Impact: Enhances market leadership and customer retention.



Trends in intrapreneurship in India:

7. Agile Work Culture

Trend: Indian companies are adopting flat hierarchies to support collaborative and experimental work environments.

Example: A software company developing a mobile app:

Instead of waiting 1 year to launch the full app, The team releases small features every 2–3 weeks, Collects customer feedback, Improves the app continuously.

Companies like **Spotify** and **Google** use agile practices to encourage innovation and flexibility.

Impact: Reduces time-to-market for new solutions.

8. Training and Development for Intrapreneurs

Trend: Upskilling programs for employees to enhance entrepreneurial capabilities.

Example: Companies like TCS and Infosys invest heavily in leadership development programs for intrapreneurs.

Impact: Builds a robust talent pipeline within organizations.



Characteristics of Intrapreneurial Environment

- Innovative Ideas
- Encourage
- Initial Opportunity Parameters
- Availability of Resources
- Encourage Teamwork
- Evaluation
- No Force
- Reward
- Alteration
- Support of Top Management



Intrapreneural Qualities

- Innovator
- Visionary
- Knowledgeable
- Flexibility
- Encourage Teamwork
- Diplomatic
- Open to Discussion and Idea
- Motivator



Entrepreneurship and Intrapreneurship: Advantages and Disadvantages

Entrepreneurship	
Advantages	Disadvantages
You are your own boss	Money Pressure
The income increases	Less benefits as the business is new
You have the chance to be original	Long working hours
You have part of excitement and adventure	Mistakes are magnified
There are a lot of possibilities	All decisions must be made along
Salary Potential	



Entrepreneurship and Intrapreneurship: Advantages and Disadvantages

Intrapreneurship	
Advantages	Disadvantages
Ability to stay in a friendly, well known environment	Reward may not be up to expectation
Practicing your skills within an organisation-lower risk	Innovation may not be appreciated accordingly
Using companies resources, good name, knowledge	You can be innovative but to a certain limit-you are not your own boss
Access to customers, infrastructure	



Characteristics of Intrapreneur

- Self Motivated
- Self-Confident and Courageous
- Freedom
- Education
- Systems

<https://www.instagram.com/reel/DUc3NaWjau4/?igsh=MXJ6OTU4Nmt1bHRuaw==>



Examples: Intrapreneur

S. Sivakumar – e-Choupal (ITC Limited)

The Story: In the late 1990s, S. Sivakumar was a manager in ITC's agricultural business unit. He noticed massive inefficiencies in how agricultural products were procured and saw how middlemen were cutting into both the farmers' profits and ITC's margins. He approached the ITC chairman and asked for ₹50 lakh to test a bold idea: setting up internet kiosks in rural villages so soya farmers in Madhya Pradesh could check market prices directly.

The Result: The initiative became **e-Choupal**. It evolved into one of the most successful corporate rural initiatives in Indian history, digitally empowering millions of farmers, eliminating middlemen, and securing a highly competitive, direct supply chain for ITC's agribusiness.



Examples: Intrapreneur

Girish Wagh – Tata Ace & Tata Nano (Tata Motors)

The Story: While Ratan Tata is credited with the broader vision of creating affordable transport for the Indian masses, Girish Wagh was the intrapreneur who executed it. As a young engineer at Tata Motors, he was given incredible autonomy—essentially running a startup within the giant automaker—to design a sub-one-ton truck.

The Result: His team created the **Tata Ace** (affectionately known as the "Chota Hathi"), which completely revolutionized last-mile cargo transport in India. Because of this success, Wagh was later entrusted with leading the team that developed the **Tata Nano**, operating under strict constraints and tight budgets to reinvent automotive engineering from the ground up.



Examples: Intrapreneur

Rural Distribution Expansion (Hindustan Unilever)

The Story: During the 2008 global financial crisis, Hindustan Unilever (HUL) saw its performance stall and its share price drop. Nitin Paranjpe, leveraging HUL's strong intrapreneurial culture, decided not to contract but to aggressively expand. He set an audacious goal to add 500,000 new points of sale in deep rural areas.

The Result: To offset the massive costs of this rural expansion, the team spearheaded an unconventional strategic partnership with Tata Docomo. HUL used its vast rural network to distribute Docomo SIM cards alongside its soaps and shampoos. This intrapreneurial pivot helped HUL weather the economic crisis and deeply entrenched its rural market dominance.



Concept of Women Entrepreneur



Introduction

Women Entrepreneurs may be defined as the women or a group of women who initiate, organize and operate a business enterprise.

Government of India has defined women entrepreneurs as an enterprise owned and controlled by a women having minimum financial interest of 51% of the capital and giving at least 51% of employment generated in the enterprise to women.



Constraints for the Development of Women Entrepreneurship

- ☐ Current Socio-economic transition in India
- ☐ Traditional societal constraints
- ☐ Household roles
- ☐ Lack of proper childcare facilities
- ☐ Increasing poverty
- ☐ Rising unemployment
- ☐ Reduction of the financial ability to educate girls and boys
- ☐ Greater pressure to marry at younger ages
- ☐ More visible domestic violence



How to develop women entrepreneurs?

- Consider women as specific target group for all developmental programmes
- Better educational facilities and schemes should be extended to women folk from government part
- Adequate training programme on management skills to be provided to women community
- Encourage women's participation in decision making
- Vocational training and Skill development training to be extended to women community
- Training on professional competence and leadership skill to be extended to women entrepreneurs



How to develop women entrepreneurs? Contd.....

- Training and counseling on a large scale of existing women entrepreneurs
- Counseling through the aid of committed NGO's, psychologists, managerial experts and technical personnel should be provided
- Continuous monitoring and improvement of training programmes
- Activities in which women are trained should focus on their marketability and profitability
- Making provisions of marketing and sales assistance from government part.
- Financial institutions should provide more working capital assistance both for small scale and large scale venture



How to develop women entrepreneurs? Contd.....

- Making provision of micro credit system and enterprise credit system to the women entrepreneur at local level
- Infrastructure in the form of industrial plots and sheds to set up industries is to be provided by state run agencies
- Industrial estates could also provide marketing outlets for display and sale of product made by women
- A women Entrepreneur's Guidance cell set up to handle the various problems of women entrepreneurs all over the state
- District Industries centres and Single Window agencies should make use of assisting women in their trade and business guidance
- Training in entrepreneurial attitudes should start at the high school level through well designed courses



Special schemes for women entrepreneurs

Trade-related Entrepreneurship Assistance and Development scheme for women(TREAD)

Objectives of Scheme :

- To conduct training programmes for women
- To impart training to women in entrepreneurship
- To support NGOs which are engaged in entrepreneurship training
- To support National level institutions which are engaged in entrepreneurship training



Trade-related Entrepreneurship Assistance and Development scheme for women(TREAD)

Three major components of the scheme are :

- ❖ Govt. of India grant upto 30% of the total project cost to the Non-government organisations(NGOs) for promoting entrepreneurship among women.
- ❖ Govt. of India grant upto Rs. 1 lakh per programme to training institutions /NGOs for imparting training to the women entrepreneurs.
- ❖ Need-based government of India grants up to Rs. 5 lakh to National Entrepreneurship Development Institutions and any other institutions of repute



Credit Guarantee Fund Scheme

The Govt. introduced the Credit Guarantee Fund Scheme for Small Industries in May 2000 with the objective of making available credit to SSI units, particularly tiny units, for loans up to Rs. 25 lakh without collateral/third party guarantees.

The Scheme is being operated by the Credit Guarantee Fund Trust for Industries(CGTSI) set up jointly by the Government of India and SIDBI



Seed Capital Scheme

- ☐ Govt. provides funds at 10% to unemployed youths and women aged 18-35 years, with minimum qualification VIIth pass
- ☐ Maximum seed capital available is Rs. 5 Lakhs
- ☐ Assistance percentage is 10% to 15% of total fixed capital, 22.5 % for backward classes
- ☐ Repayment period is seven years.



Women Industries Fund Scheme

- ☐ Women entrepreneurs get 15% seed capital of the total cost of the project
- ☐ The cost of the project should not exceed not more than Rs. 10 lakhs
- ☐ Women entrepreneurs should contribute at least 10% of total cost of the project
- ☐ In case of partnership/public limited then the contribution of the women should be 51%



Single Window Scheme

- ☐ To facilitate women entrepreneurs in getting term loans and working capital from one and same institution
- ☐ Applicable for both male and female entrepreneurs
- ☐ This scheme is applicable to the project where total expense are up to 20 lakhs (excluding working capital and marginal money)
- ☐ Loan has to be repaid within the period of ten years



District Industries Centre Scheme (DIC)

- ☐ The main object is to start industries in rural areas where the population is less than 1 lakh
- ☐ Investment in machinery up to Rs. 2 lakh is allowed
- ☐ 20% of this investment is granted as seed capital
- ☐ For backward classes the seed capital is up to 30%
- ☐ The interest rate is 4 %
- ☐ Remaining capital needs to be financed by banks or financial institution



Remedial Measures and Suggestions

To solve the problems facing by women entrepreneurs, some remedial measures and suggestions are given below:

- ☐ Governmental Efforts
- ☐ Stress on women education
- ☐ Financial assistance
- ☐ Enhance practical and technical knowledge
- ☐ Market facilities
- ☐ Infrastructural development
- ☐ Self-employment training programs
- ☐ Transfer of technology and information
- ☐ Research and survey programs



Concept of Social Entrepreneurship



Who is Social Entrepreneur

Social Entrepreneurs drive social innovation and transformation in various fields including education, health, environment and enterprise development.

A social entrepreneur, similar to business entrepreneur, builds strong and sustainable organisations, which are either set up as not-for-profits or companies.



Social entrepreneur

- ❑ A social entrepreneur recognizes a social problem and uses entrepreneurial principles to organize, create and manage a venture to achieve Social change (a social venture).
- ❑ While a Business Entrepreneur typically measures performance in profit and return, a social entrepreneur focuses on creating social capital.



Social entrepreneur

Social Entrepreneurs are

- ☐ Ambitious
- ☐ Mission driven
- ☐ Strategic
- ☐ Resourceful
- ☐ Result oriented

E.g. Muhammad Yunus-founder of Grameen Bank,

Dr Verghese Kurien- father of the India's milk revolution



Examples

The **BEMPU Bracelet** (officially known as the BEMPU TempWatch) is one of the most celebrated recent examples of Indian social entrepreneurship. It bridges the gap between high-tech medical monitoring and the harsh realities of rural, low-resource healthcare.

Developed by **BEMPU Health**, a Bengaluru-based social enterprise founded by Ratul Narain, the bracelet addresses "The Silent Killer": **Neonatal Hypothermia**.

The Problem: The Gap in Newborn Care

In India, many babies are born with low birth weight. These infants struggle to regulate their body temperature, and if they get too cold (hypothermia), they stop gaining weight, become susceptible to infections, and can eventually die.

The Reality: Most rural hospitals are understaffed, and parents at home often don't have thermometers or the medical training to detect subtle temperature drops until it's too late.



Examples

The Solution: The BEMPU Bracelet

The bracelet is a simple, medical-grade silicone band worn by a newborn for their first 30 days—the most critical window for survival.

How it Works: It continuously monitors the baby's temperature.

Blue Light: Everything is normal.

Orange Light + Audio Alarm: The baby is becoming hypothermic.

The "Jugaad" Innovation: It requires **no charging** and **no technical training**. When the alarm sounds, parents are taught to provide "Kangaroo Mother Care" (skin-to-skin contact) or swaddle the baby to restore warmth.

Key Statistics & Recognition

Impact: It has reached over **30,000+ newborns** across 25+ countries.

Recognition: Named one of **Time Magazine's Best Inventions of 2017**.

Effectiveness: Studies show that using the bracelet increases the amount of skin-to-skin care parents provide, leading to better weight gain and lower mortality.
swaddle the baby to restore warmth.



Examples

SELCO India (Sustainable Energy)

Founded by Harish Hande, SELCO shattered the myth that poor people cannot afford or maintain sustainable energy.

The Mission: To provide solar energy solutions to under-served households and businesses.

The Innovation: Instead of just selling hardware, they created a "doorstep" service model and partnered with local banks to create **micro-financing** options, making solar panels affordable for street vendors and rural homes.

Goonj (Circular Economy & Dignity)

Founded by Anshu Gupta, Goonj treats "discarded cloth" as a vital resource for rural development rather than just a piece of charity.

The Model: Through their "**Cloth for Work**" initiative, they provide clothes and essential kits to villagers—not as a handout, but as a reward for community work (like digging a well or building a bridge).

The Impact: It turns a basic necessity into a tool for empowerment, preserving the dignity of the receiver while improving rural infrastructure.



D Y PATIL
UNIVERSITY
NAVI MUMBAI

Some Common Traits of Social Entrepreneurs

- ☐ Belief in the innate capacity of all people to contribute meaningfully to economic and social development
- ☐ A driving passion to make that happen
- ☐ A practical but innovative stance to a social problem
- ☐ Zeal to measure and monitor their impact
- ☐ A healthy impatience



Social Entrepreneurship

Social entrepreneurship is

- ❑ About applying practical, innovative and sustainable approaches to benefit society in general, with an emphasis on those who are marginalized and poor.
- ❑ A term that captures a unique approach to economic and social problems, an approach that cuts across sectors and disciplines grounded in certain values and processes that are common to each social entrepreneur.
e.g. education, health, welfare reform, environment, economic development, agriculture etc.
- ❑ An approach that sets the social entrepreneur apart from the rest of the crowd of well-meaning people and organisations who dedicate their lives to social improvement



Advantages of Social Enterprise

- ☐ Easier to raise funds
- ☐ Easy marketing and promotion
- ☐ Easier to garner support from likeminded individuals
- ☐ Customized services
- ☐ Cost effectiveness



Concept of Rural Entrepreneurship



Introduction

Rural Entrepreneurship refers to the establishment and operation of business enterprises in rural areas by utilizing local resources, skills, and opportunities to generate income and employment for the rural population. It focuses on economic development at the grassroots level and aims to reduce rural–urban migration by creating sustainable livelihood opportunities within villages.



Introduction

Rural Entrepreneurship refers to the establishment and operation of business enterprises in rural areas by utilizing local resources, skills, and opportunities to generate income and employment for the rural population. It focuses on economic development at the grassroots level and aims to reduce rural–urban migration by creating sustainable livelihood opportunities within villages.

Rural entrepreneurship can be defined as: “The process of identifying, starting, and managing a business venture in rural areas by utilizing locally available resources to create value and improve the socio-economic conditions of rural communities.”



Key Features of Rural Entrepreneurship

1. Location-Based – Operates in villages and small towns.
2. Use of Local Resources – Utilizes local raw materials, skills, and traditional knowledge.
3. Employment Generation – Creates job opportunities for rural people.
4. Low Investment Requirement – Generally requires small or moderate capital.
5. Focus on Community Development – Improves income levels and living standards.
6. Promotes Self-Reliance – Encourages villagers to become job creators rather than job seekers.



Types of Rural Entrepreneurship

1. Agricultural Entrepreneurship

- **Dairy** farming
- Organic farming
- Poultry farming
- Fisheries

2. Non-Agricultural Entrepreneurship

- Handicrafts
- Cottage industries
- Rural tourism
- Food processing units

3. Agri-Tech and Modern Rural Ventures

Example: DeHaat – Provides agricultural inputs and advisory services to farmers.

Example: e-Choupal – Digital platform launched by ITC Limited to connect farmers directly to markets.



Importance of Rural Entrepreneurship

- **Economic Development** – Strengthens rural economy.
- **Poverty Reduction** – Improves financial stability of families.
- **Women Empowerment** – Encourages self-help groups and women-led enterprises.
- **Utilization of Idle Resources** – Makes productive use of land and labour.
- **Development of Small-Scale Industries** – Promotes cottage and village industries.



Concept of Family Business Entrepreneurship



Introduction

Family Business Entrepreneurship refers to a business that is owned, managed, and controlled by members of the same family, where family members are actively involved in decision-making and operations.

These businesses are often passed from one generation to another, maintaining family values, traditions, and long-term vision.

Family businesses play a significant role in economic development by creating employment, generating wealth, and contributing to innovation and sustainability.



Introduction

Meaning of Family Business

A family business is an enterprise where:

Ownership lies primarily with family members.

Management and control are exercised by family members.

Succession is intended to remain within the family across generations.

Definition: A family business can be defined as a business organization in which two or more members of the same family influence the direction of the business through ownership, management roles, or family relationships.

In a tech-driven world, many of the largest IT firms (like Wipro or Infosys) started as family enterprises.



Importance of Family Business in Entrepreneurship

Family businesses are important because they:

- Encourage entrepreneurial spirit within families.
- Create employment opportunities.
- Promote innovation and business continuity.
- Contribute significantly to economic growth.
- Preserve family legacy and wealth.

In many economies, especially in countries like India, family businesses form the backbone of the private sector.



Advantages of Family Business in Entrepreneurship

- **Quick Decision Making**

Fewer formal procedures enable faster decisions.

- **Trust and Loyalty**

Strong trust among family members improves coordination.

- **Long-term Vision**

Focus on stability and future generations.

- **Strong Commitment**

Family members are emotionally invested in the success of the business.

- **Flexible Management**

Decisions can be made quickly without bureaucratic delays.



Disadvantages of Family Business in Entrepreneurship

- **Family Conflicts**

Personal disagreements may affect business decisions.

- **Lack of Professional Management**

Positions may be given based on family relations rather than competence.

- **Succession Problems**

Choosing the right successor can be challenging.

- **Limited Growth**

Family businesses may hesitate to bring in external professionals or investors.

- **Mixing of Family and Business Issues**

Emotional decisions may sometimes replace rational business decisions.



Types of Family Businesses

1. Founder-Controlled Family Business

This type of business is **owned and managed by the founder**, who takes most of the strategic and operational decisions.

Example

Dhirubhai Ambani started Reliance Industries and initially controlled the business decisions himself before the next generation took leadership.

2. Sibling Partnership

In this type, the **business is jointly managed by brothers and sisters** after the founder transfers ownership to the second generation.

Example

Mahindra & Mahindra has been managed by members of the Mahindra family across generations.



Types of Family Businesses

3. Cousin Consortium

This type occurs when the **third generation or extended family members (cousins)** manage the business together.

Example

Godrej Group is an example where multiple family members from different branches are involved in the business.

4. Family-Owned but Professionally Managed Business

In this structure, the **family retains ownership**, but **professional managers run the business operations**.

Example

Tata Group is largely owned by the Tata family trusts but professionally managed by executives.



Types of Family Businesses

3. Cousin Consortium

This type occurs when the **third generation or extended family members (cousins)** manage the business together.

Example

Godrej Group is an example where multiple family members from different branches are involved in the business.

4. Family-Owned but Professionally Managed Business

In this structure, the **family retains ownership**, but **professional managers run the business operations**.

Example

Tata Group is largely owned by the Tata family trusts but professionally managed by executives.



Challenges Faced by Family Businesses

- **Succession planning**
- **Managing family conflicts**
- **Professionalization of management**
- **Maintaining innovation**
- **Balancing family interests with business goals**



Examples of Successful Family Businesses in India

Examples of Successful Family Businesses in India

Some well-known Indian family businesses include:

- Reliance Industries
- Tata Group
- Birla Group
- Godrej Group
- Mahindra & Mahindra

These companies started as family enterprises and later evolved into large corporate organizations.

Types of Enterprise



Main types of business entities in India:

- ❖ Public Limited Company
- ❖ Private Limited Company
- ❖ Joint-Venture Company
- ❖ Partnership Firm
- ❖ Sole Proprietorship
- ❖ Non-Government Organization (NGO)



Main types of business entities in India:

Public Limited Company in India

A Public Limited Company under Company Act 2013 is a company that has limited liability and offers **shares** to the general public.

A Public Limited Company in India has a minimum of three directors, a minimum of seven shareholders, and can have a maximum of unlimited shareholders.

It can either be listed in a stock exchange or remain unlisted.

Once the company is listed as a Public Limited Company in a stock exchange, its shareholders can freely trade the company's shares. Since it is a separate legal entity, the company's existence is not affected by retirement, death, or insolvency of its shareholders.



Public Limited Company in India

Example:

1. Sun Pharmaceutical Industries Limited
2. **Reliance Industries Limited**, a leading conglomerate listed on the stock exchange.



Main types of business entities in India:

Private Limited Company in India

A Private Limited Company in India is a privately held small business entity and considered as an independent legal entity on incorporation. It has a minimum of one and a maximum of fifty shareholders. Unlike Public Limited Companies, Private Limited Companies cannot publicly trade its shares. It can have a minimum of two and a maximum of fifteen directors



Private Limited Company in India

e.g.

Aan Pharma Pvt Ltd., Gujrat

Meanrini India Pvt Ltd, Gujrat

Abhilash Chemicals Pvt. Ltd., Tamilnadu

Magnum Health & Safety Pvt. Ltd., Vasai



Main types of business entities in India:

Joint-Venture Company in India

A Joint Venture (JV), as the name suggests, is a new business entity created through a partnership between foreign and Indian investors, in which the partners jointly share the profits, losses, management responsibilities, and operation expenses. The advantages of joint ventures are that the foreign company can utilize the well-established contact network, distribution, marketing channels, and the available financial resources of the Indian partner. A JV also offers the investors to jointly manage the risks involved with the new business and limit their individual exposure by sharing the liabilities.



Joint-Venture Company in India

Technology collaboration between:

Tata Consultancy Services

Mitsubishi Corporation

Purpose

Development of digital transformation and IT solutions for global markets.

Pfizer, the world's largest drug maker(the world's leading biopharmaceutical company), **entered into a marketing alliance with biotech major Biocon Ltd**(Asia's premier biotechnology company) - alliance with Biocon will enable the delivery of biosimilar Insulin products, providing attractive, cost-effective treatment options to more Diabetes patients,"



Main types of business entities in India:

Partnership Firm in India

A partnership is “the relation between people who have agreed to share the profits of the business carried on by them or any of them acting for all”. A Partnership Firm in India is a type of Joint-Venture Company. The owners of a partnership firm are individually known as partners and collectively known as a firm. A minimum of two people are required to start a partnership business. The maximum number of partners is ten. The partners have unlimited liability and can share profits in any mutually agreed ratio. Governed by the Indian Partnership Act, 1932.

Example:

A law firm like “**Mehta & Sharma Associates**” with two partners sharing responsibilities.



D Y PATIL
UNIVERSITY
NAVI MUMBAI

Main types of business entities in India:

Sole Proprietorship in India

A sole proprietorship in India is a form of a business entity where a single individual handles the entire business organization. The individual is the sole recipient of all profits and bearer of all losses to the business. The liability of the owner is unlimited. A Sole Proprietorship business is suitable where the market is limited, localized, and where customers give importance to personal attention. This type of company is suitable when the capital required is limited and the risk- involvement is not huge. There are less legal formalities as proprietorship does not have a legal existence.

Example: A local grocery store run by an individual.

Case: "Ramesh Kirana Store" in a small town is owned and operated solely by Ramesh.



D Y PATIL
UNIVERSITY
NAVI MUMBAI

Co-operative Society

Description: A group of individuals with shared economic and social goals.

Features:

Governed by the Co-operative Societies Act, 1912.

Democratic structure (one member, one vote).

Example:

Amul, a dairy co-operative society providing milk products across India.



Main types of business entities in India:

Non-Government Organization (NGO) in India/Section 8 Company

Non-Government Organization (NGO) or Nonprofit Company is a citizen-based association that operates independently of the government, usually to serve some social purpose. These organizations are not intended towards gaining profits and work for promoting a cause or development projects for the betterment of society.

- Non-profit organizations formed for charitable or social objectives.
- **Features:**
- Governed by the Companies Act, 2013.
- No dividend distribution.
- **Example:**
- **“Teach for India”**, an organization working for educational reform.



Non-Government Organization (NGO) in India

e.g.

Cancer Patients Aid Association (CPAA) is a 50 year old non-profit organisation that addresses cancer as a health problem through his distinctive philosophy of ‘Total Management of Cancer’.

CPAA’s Founder Chairman and CEO, Mr Y. K. Sapru recognised the gaps in addressing cancer as a health problem in India and embarked on creating an appropriate framework for addressing those needs.



D Y PATIL
UNIVERSITY
NAVI MUMBAI

e.g.

BloodConnect

Amongst all inventions which medical science has made, there is one area where scientists are still struggling i.e. manufacturing of blood. BloodConnect started helpline with a five-member team having a noble intention of solving the gap between the donors and receivers. After 3 years, they have grown into a charismatic team spanning over four cities and are solving the crisis. A not-for-profit organisation running with the sole aim of saving lives encourages youth to donate and actively spread awareness about the benefits of blood donation.



Choosing the Right Entity

The type of entity depends on:

- **Size** of the business.
- **Nature** of operations.
- **Ownership and liability preferences.**
- **Capital requirements.**



<https://www.icmrindia.org/casestudies/catalogue/Marketing/MKTG173.htm>

https://www.icmrindia.org/casestudies/Case_Studies_Industry_Wise.asp?Industry=Pharma



Thank You



D Y PATIL
UNIVERSITY

NAVI MUMBAI